

Raising new capital for AI investment

Quick Note

What happened?

On 23 August, Alibaba announced a proposed HKD80bn (approximately USD10.2bn) equity placement, with 100% of the net proceeds to be invested in its full-stack AI capabilities, including the expansion and enhancement of AI infrastructure. The transaction is subject to market and other conditions.

According to a report on *Reuters*, BABA plans to place ~710mn new ordinary shares at HKD112.70 per share, representing an 8.4% discount to Friday's Hong Kong closing price. The same article reported that the offering attracted significant demand, including from sovereign wealth funds, and that Alibaba increased the offering size after the deal became oversubscribed.

New equity placement likely leads to less than 4% dilution

Based on our calculation, the offering of ~710mn new shares will likely lead to 3.7% dilution for existing shareholders. We view the equity placement as manageable for existing shareholders and supportive of Alibaba's longer-term AI competitiveness, although the choice of equity financing came as a surprise to us. The transaction does not change our positive investment thesis or Buy rating.

The market had widely believed BABA would need to raise new capital, after seeing a flurry of fund-raising activities by US hyperscalers year to date. This likely caused BABA's US ADR to decline a sharp 8.6% on 21 August despite the bullish outlook on its AI Cloud business shared by BABA management just a day earlier. Therefore, we think BABA's latest announcement will help remove the overhang for BABA stock, returning market attention to its fundamentals. Post the transaction, BABA's gross cash and cash equivalents will increase to USD80bn from the reported USD70bn at June quarter end, according to our calculation.

Equity financing was a surprise, but understandable

The principal surprise for us is the financing method rather than the fund-raising itself. We had previously expected BABA to rely more on debt financing given its current share valuation. However, we understand that recent credit-market dynamics have made the relative economics for debt financing less compelling. The global AI capex boom has driven a sharp increase in hyperscaler bond issuance, accompanied by widened credit spreads, higher new-issue concessions and declined investor cover ratios. Against this backdrop, BABA's decision to choose equity over debt financing is understandable.

Additional capital reinforces BABA's AI positioning

BABA stated that 100% of the net proceeds will be invested in full-stack AI capabilities, including expanding and enhancing AI infrastructure. We continue to view Alibaba as one of the best-positioned companies in China's AI ecosystem because of its full-stack capabilities spanning foundation models, MaaS, cloud infrastructure and proprietary AI chips. During its recent June quarter print call, BABA management portrayed a constructive returns outlook for its heavy AI investment: incremental AI infrastructure can typically achieve payback in less than three years, while improving AI product margins, greater use of proprietary T-Head chips, customer prepayments and alternative compute arrangements could further improve capital efficiency. We maintain our Buy rating and USD178 target price.

Key takeaways from BABA's June quarter earnings call

AI Cloud: Top-line acceleration alongside margin expansion

Rating	Buy
Remains	
Target price	USD 178.00
Remains	
Closing price	USD 119.34
21 August 2026	

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External Cloud revenue growth accelerated to 45% y-y in the June quarter, marking the ninth consecutive quarter of acceleration. Management expects growth to exceed 50% y-y in the September quarter, followed by further acceleration in both the December and March quarters. MaaS ARR had already exceeded CNY16bn as of August and remains on track to exceed CNY30bn by fiscal year-end, according to management.

Importantly, management expects this accelerating growth to be accompanied by continued margin expansion rather than at the expense of profitability. AI Cloud's adjusted EBITA margin reached 11.6%, versus approximately 7% a year ago. Management expects margins to continue improving over the coming quarters toward its long-term target of around 20%.

The key drivers include robust revenue growth, improving utilization and pricing, a greater contribution from higher-margin MaaS revenue and increasing adoption of proprietary T-Head chips.

T-Head chips: A potentially meaningful competitive advantage for AI Cloud

For the first time, BABA provided greater visibility into its proprietary T-Head chip business. T-Head's portfolio spans GPU, CPU, storage and networking chips, allowing BABA to optimize compute, storage and networking at the system level rather than relying entirely on third-party hardware.

Management stated that previous generations of T-Head AI chips had already shipped more than 500,000 units cumulatively, while its latest domestically-produced generation has begun deployment on BABA's Cloud platform in August in supernode form and is entering large-scale commercialization.

Furthermore, management expects its next-generation domestic AI chips to begin tape-out in 2H26E, targeting both large-scale model training and inference. BABA believes T-Head is one of the few domestic AI-chip designers capable of commercially supporting both large-scale training and inference workloads.

If advanced-GPU supply remains constrained, we believe BABA's proprietary chip capabilities could become an increasingly important competitive advantage. In particular, if T-Head is proven capable of supporting large-scale training of large-parameter foundation models at commercial scale, it could materially strengthen the competitiveness of both AliCloud and BABA's foundation-model business, in our view.

AI Labs and Applications: Losses likely to moderate; monetization remains in early stage

BABA introduced AI Labs and Applications (ALA) as a new reporting segment this quarter, combining its Qwen foundation-model business with traditional and new AI applications. The segment recorded a CNY13.9bn adjusted EBITA loss in the June quarter as BABA continued to invest heavily in foundation models and the Qwen App.

Management indicated that the June quarter should represent the peak loss for the current fiscal year, with September-quarter losses likely to narrow to the low-teens in billion renminbi range and remaining broadly stable or improving thereafter.

Less than half of the segment loss relates to model training, with the remainder mainly associated with Qwen App inference, marketing and operating costs according to the management. Continued improvements in training efficiency should therefore allow BABA to continue enhancing model capabilities without losses necessarily increasing proportionately with model scale, in our view.

Monetization of BABA's Qwen foundation models remains at an early stage. We believe most current external monetization is through MaaS services provided by AliCloud. Over the longer term, management believes the business could develop more diversified monetization models beyond MaaS, potentially broadening the revenue opportunity for BABA's foundation models and AI applications.

AEG likely positioned as a cash-flow generator

Alibaba Ecommerce Group (AEG), which includes China e-commerce, China Quick Commerce (QC) and international e-commerce, reported broadly stable adjusted EBITA of CNY39.7bn. China e-commerce CMR declined 7% y-y, or increased 1% y-y on a like-for-like basis, broadly in line with market expectations.

On the outlook, management indicated that China e-commerce had improved slightly quarter-to-date in the September quarter versus the June quarter. QC also continues to

improve unit economics, with management expecting September-quarter losses to be stable or lower q-q and full-year losses to narrow by approximately 50% y-y. Management continues to target profitability for QC in FY29E, unchanged from its previous guidance.

Taken together, we believe BABA is increasingly emphasizing profit stability and cash generation across its more mature e-commerce businesses rather than pursuing growth at the expense of profitability. In our view, this provides a more stable earnings and cash-flow base to support the group's continued investment in AI.

High AI capex supported by sub-three-year payback

The biggest financial concern remains AI capex and free cash flow. June-quarter capex reached CNY67.7bn, versus CNY26.9bn in the preceding quarter, or approximately USD10bn, alongside a CNY44.7bn FCF outflow.

Management explicitly cautioned against annualizing the June-quarter capex level, noting that quarterly spending can fluctuate depending on hardware procurement and delivery schedules.

At the same time, management presented a constructive return profile for its heavy AI investment. Incremental AI infrastructure investments can typically achieve a payback period of less than three years, while improving AI product margins, greater use of proprietary T-Head chips, customer prepayments and alternative compute arrangements could further enhance capital efficiency.

We believe BABA therefore appears willing to tolerate negative near-term FCF to capture the AI growth opportunity, supported by what management views as attractive returns on incremental AI infrastructure investment.

Fig. 1: Alibaba – SOTP valuation

	Valuation (USDbn)	Stake	Attributable valuation (USDbn)	Value per share (USD)	As % of target price	Note
<i>Core Assets</i>						
China Ecommerce Group (CEG)	87	100%	87	36	20%	5x FY27F (CY26) P/E
Alibaba Cloud	278	100%	278	116	65%	7x FY28F (CY27) external cloud revenue
<i>Non-core Assets</i>						
AIDG	11	100%	11			0.5x FY27F (CY26) P/S
Ant Group	79	33%	26			In line with the valuation in last share repurchase by Ant group in July 2023
All other non-core assets	30	100%	30			Nomura assumption
Discount for investee and non-core assets (non-core assets)			40%			
Net valuation of non-core assets			40	17	9%	
Total EV			405	169	95%	
Net cash			21	9	5%	30% discount applied to net cash balance as of most recent reporting period
Target market cap			427		100%	
Target price				USD 178		

Source: Company data, Nomura estimates

Appendix A-1

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Alibaba Group Holding	BABA US	USD 119.34	21-Aug-2026	Buy	N/A	A10

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Alibaba Group Holding (BABA US)

USD 119.34 (21-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Alibaba's China Ecommerce Group at USD87bn, based on 5x FY27F P/E; its AliCloud business at USD278bn, based on 7x FY28F P/S; and its net valuation of non-core assets (including international ecommerce business) at USD40bn. The resulting TP is USD178. The benchmark index for this stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks include: margin downside due to ramp-up in investments; regulatory risks related to the payment and internet finance industry, which could hurt Alibaba's main business and its value in Ant Group.

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